

■ CLIENT HANDBOOK · 2026 EDITION

Understanding Incoterms[®] 2020

A practical guide to delivery terms, risk transfer and cost allocation in international trade — written for importers, exporters and supply-chain teams.



PREPARED BY

MTS Logistics Ltd.

Dhaka · Bangladesh

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About this handbook

Every international sale rests on one deceptively small detail: the three-letter trade term written next to the price. That term decides who arranges transport, who pays each cost, where risk moves from seller to buyer — and, when something goes wrong, who absorbs the loss.

This handbook explains the eleven Incoterms® 2020 rules in plain business English. It is written for importers, exporters, merchandisers and logistics teams — including readers arranging their first international shipment.

01

LEARN THE SYSTEM

Read the fundamentals (pages 05–09) once. They explain how every rule divides tasks, costs and risk.

02

LOOK UP A RULE

Each rule has a one-page guide (pages 11–21) with the delivery point, risk transfer and both parties' duties.

03

KEEP THE CHEAT SHEET

Page 33 condenses all eleven rules into one printable reference for your desk or negotiation file.

DISCLAIMER

This handbook is an independent educational publication prepared by MTS Logistics Ltd. It is not issued, endorsed by, or affiliated with the International Chamber of Commerce (ICC). Incoterms® is a registered trademark of the ICC. The summaries in this guide are simplified for practical use and do not reproduce the official text; for the complete and legally authoritative wording, consult the ICC publication *Incoterms® 2020* (ICC Publication No. 723E) at iccwbo.org. This guide is general information, not legal advice — obtain professional advice for specific contracts.

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IN A HURRY?

Go straight to the [cheat sheet on page 33](#) — all eleven rules, one printable page.

PART ONE

Fundamentals

What the rules are, how the 2020 edition is organised, and the three questions every rule answers before a shipment moves.



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 SECTION 01

What are Incoterms®?

Incoterms® — short for *International Commercial Terms* — are eleven standardised trade rules published by the International Chamber of Commerce (ICC). Written into a sales contract as a three-letter code plus a named place, each rule fixes exactly how the seller and the buyer divide the work, the costs and the risk of moving goods from one to the other.

First published in 1936 and revised roughly every decade, the current version is **Incoterms® 2020**, in force since 1 January 2020. The rules are recognised by banks, insurers, carriers and courts in virtually every trading country — including Bangladesh.

EVERY RULE ANSWERS Who does what? Who books transport, loads and unloads, clears customs at export and import, and produces which documents.	EVERY RULE ANSWERS Who pays for what? How every cost on the journey — packing, haulage, terminal charges, freight, insurance, duties — is allocated.	EVERY RULE ANSWERS Where does risk pass? The precise point where loss of or damage to the goods stops being the seller's problem and becomes the buyer's.
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HOW A TRADE TERM IS WRITTEN

CIF

THE RULE

One of the eleven three-letter codes.

Chattogram Port,

THE NAMED PLACE OR PORT

Be precise — a terminal or port, not just a country. This point anchors cost or risk transfer.

Incoterms® 2020

THE VERSION

Always state the year — older versions remain valid if named, and defaults differ.


REMEMBER · WHAT INCOTERMS DO NOT DO

Incoterms are not a complete sales contract. They do not transfer **ownership or title** to the goods, do not set the **price or payment terms**, do not define **remedies for breach**, and do not deal with **product liability**. Those belong in the sale contract itself — the Incoterm governs delivery, cost and risk only.

SECTION 02

The Incoterms® 2020 system

The eleven rules form a spectrum — from **EXW**, where the buyer does almost everything, to **DDP**, where the seller does. They fall into four families, named after the first letter of each code.

E DEPARTURE Buyer collects at the seller's door. Minimum seller obligation. EXW	F MAIN CARRIAGE UNPAID Seller delivers to the buyer's nominated carrier at origin. Buyer pays the main leg. FCA · FAS · FOB	C MAIN CARRIAGE PAID Seller pays freight to destination — but risk still passes at origin. CPT · CIP · CFR · CIF	D ARRIVAL Seller carries cost and risk all the way to the named destination. DAP · DPU · DDP
ANY MODE OF TRANSPORT — 7 RULES EXW · FCA · CPT · CIP · DAP · DPU · DDP — road, rail, air, sea or any combination. The right family for containerised and multimodal freight.		SEA & INLAND WATERWAY ONLY — 4 RULES FAS · FOB · CFR · CIF — written for cargo delivered alongside or on board a vessel: bulk, breakbulk and conventional shipping.	

WHAT CHANGED FROM INCOTERMS® 2010 TO 2020

DAT → DPU	Delivered at Terminal was renamed Delivered at Place Unloaded — delivery no longer has to be at a terminal.
CIP COVER ↑	CIP now requires all-risks insurance (Institute Cargo Clauses A) . CIF keeps the minimum ICC (C) default.
FCA + B/L	Under FCA, parties can agree the buyer instructs its carrier to issue an on-board bill of lading to the seller — solving the classic letter-of-credit problem.
OWN TRANSPORT	FCA and the D-rules now expressly allow the buyer or seller to move the goods with their own vehicles , not only a hired carrier.
CLEARER COSTS	All costs are consolidated in one article per rule (A9/B9), and security-related obligations are spelled out explicitly.



KEY TAKEAWAY

Older versions did not expire. If a contract says "Incoterms 2010", those rules apply — so always write the year.

 SECTION 03

Why Incoterms matter

The trade term is not paperwork — it is commercial substance. It changes your true selling price, your insurance needs, your customs obligations and your negotiating position.

One shared language "FOB Chattogram, Incoterms® 2020" means the same thing to a buyer in Hamburg, a bank in Dhaka and an insurer in Singapore — no translation, no assumptions.	Prices you can compare A CIF quote and an FCA quote are different products. Knowing what each term includes lets you compute the true landed cost before you commit.
Insurance without gaps Cargo should be insured by whoever bears the risk on each leg. The rule tells you exactly where your exposure starts and ends — so cover can match it.	Fewer, shorter disputes When goods arrive damaged or costs surprise, the rule already allocates responsibility. Courts and arbitrators apply Incoterms as written.

WHAT A WRONG OR VAGUE TERM TYPICALLY COSTS

Uninsured loss windows. Each party assumes the other insured the leg — nobody did, and a wet container becomes a total write-off.

Customs stand-offs. Nobody is clearly the exporter or importer of record, so the shipment waits while demurrage accrues.

Double-paid charges. Terminal handling billed to the seller in the freight and again to the buyer at the port.

Payment delays. The documents the letter of credit demands don't match what the term lets the seller obtain.



BEST PRACTICE · MAKE IT BINDING

Incoterms apply because you incorporate them. Write the full formula — **rule + named place + "Incoterms® 2020"** — on the contract, the proforma invoice and the purchase order.



BEST PRACTICE · KEEP TERM AND PAYMENT ALIGNED

The trade term decides which transport document the seller can present. Check it against the letter of credit *before* shipment, not after.



KEY TAKEAWAY

Choose the term as deliberately as you negotiate the price — it is part of the price.

SECTION 04

The 11 rules at a glance

Each rule in one line — where the seller delivers, who pays the main carriage, and who must insure. Full one-page guides follow on pages 11–21.

RULE	DELIVERY / RISK TRANSFERS AT	MAIN CARRIAGE PAID BY	INSURANCE OBLIGATION
ANY MODE OF TRANSPORT — 7 RULES			
EXW Ex Works	Seller's premises — <i>goods available, not loaded</i>	Buyer	No obligation on either party
FCA Free Carrier	Handover to buyer's carrier at the named place, export cleared	Buyer	No obligation on either party
CPT Carriage Paid To	Handover to the <i>first carrier</i> at origin	Seller — to named destination	No obligation on either party
CIP Carriage & Insurance Paid To	Handover to the <i>first carrier</i> at origin	Seller — to named destination	Seller — ICC (A) all-risks, 110%
DAP Delivered at Place	Named destination — arriving vehicle, ready for unloading	Seller	No obligation on either party
DPU Delivered at Place Unloaded	Named destination — <i>after unloading</i>	Seller	No obligation on either party
DDP Delivered Duty Paid	Named destination — import cleared, duties paid	Seller	No obligation on either party
SEA & INLAND WATERWAY ONLY — 4 RULES			
FAS Free Alongside Ship	Alongside the vessel at the port of shipment	Buyer	No obligation on either party
FOB Free On Board	On board the vessel at the port of shipment	Buyer	No obligation on either party
CFR Cost and Freight	On board at origin — freight paid to destination port	Seller — to destination port	No obligation on either party
CIF Cost, Insurance and Freight	On board at origin — freight paid to destination port	Seller — to destination port	Seller — ICC (C) minimum, 110%



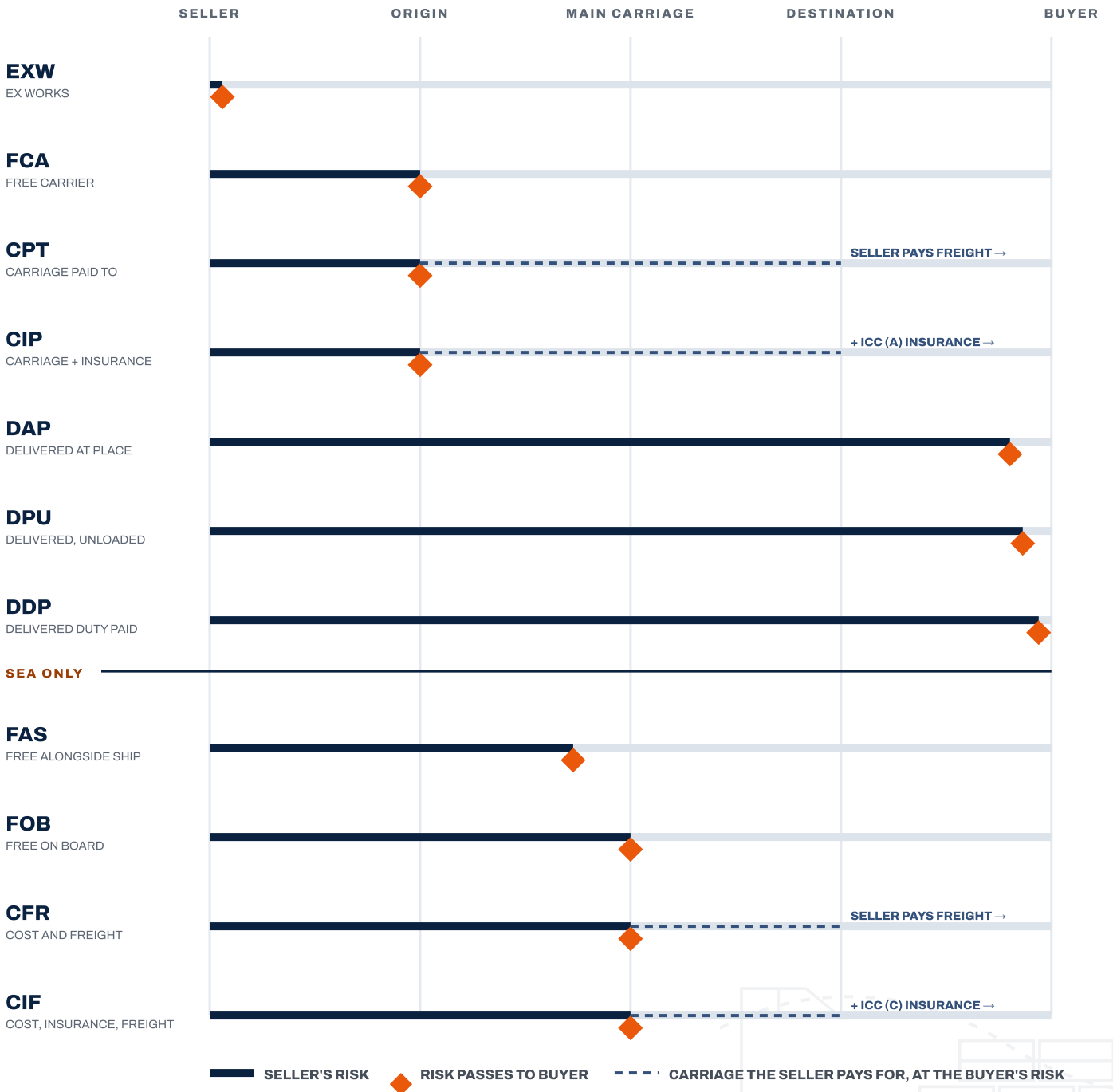
KEY TAKEAWAY

"No obligation" never means "no insurance needed" — it means the rule leaves cover to whoever carries the risk.

SECTION 05

Where risk transfers

All eleven rules on one ladder. The navy bar is the stretch of the journey travelled at the **seller's risk**; at the orange diamond, risk passes to the buyer.



KEY TAKEAWAY

In the C-rules, "seller pays the freight" does not mean "seller carries the risk" — the two split at the first carrier.

PART TWO

The 11 Rules

One page per rule: the delivery point, where risk transfers, what each party must do, and where the term is used in practice.



IN THIS PART

EXW Ex Works	11	FCA Free Carrier	12	CPT Carriage Paid	13	CIP Carr. + Insur.	14
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FOB Free On Board	19	CFR Cost & Freight	20	CIF Cost, Ins. & Frt.	21		

ANY MODE OF TRANSPORT

E GROUP — DEPARTURE

RULE 1 OF 11

SELLER OBLIGATION

■ ■ ■ ■ ■
MINIMUM

EXW Ex Works

The seller's only job is to place the goods, suitably packed, at the buyer's disposal at the seller's premises or another named place — **not loaded** on any vehicle and **not cleared for export**. Everything after that is the buyer's task, cost and risk.



DELIVERY POINT Seller's premises or another named place — goods placed at the buyer's disposal, not loaded on the collecting vehicle.	RISK TRANSFER The moment the goods are made available at the named point — even loading damage is already the buyer's risk.
SELLER'S MAIN RESPONSIBILITIES • Suitable packaging and marking • Commercial invoice and any agreed documents • Make goods available at the agreed time and place • Assist with export documents — at the buyer's request, risk and cost	BUYER'S MAIN RESPONSIBILITIES • Loading at the seller's premises • Export licences and export clearance • All carriage — and any insurance it wants • Import clearance, duties and taxes
WHEN TO USE • Buyer has real capability at origin — own forwarder and customs broker • Multi-supplier pickups the buyer consolidates itself • Domestic legs of a longer chain; for cross-border sales, prefer FCA	IN PRACTICE A Dhaka trading house buys polybags EXW Gazipur and consolidates them with cartons from two other local suppliers into a single export shipment it controls — and insures — end to end.

KEY TAKEAWAY

Minimum obligation for the seller on paper — but in international deals EXW creates export-clearance and loading problems that FCA avoids.

ANY MODE OF TRANSPORT

F GROUP — MAIN CARRIAGE UNPAID

RULE 2 OF 11

SELLER OBLIGATION

LOW

FCA Free Carrier

The seller delivers the goods, **cleared for export**, to the carrier or person nominated by the buyer — loaded on the buyer's transport if delivery is at the seller's premises, or ready for unloading at any other named place.



AT HANDOVER TO THE BUYER'S CARRIER — EXPORT CLEARED

DELIVERY POINT At the seller's premises, loaded on the buyer's vehicle — or at another named place (ICD, terminal, airport), on the seller's vehicle ready for unloading.	RISK TRANSFER At handover to the nominated carrier at the named point — precision about that point matters.
SELLER'S MAIN RESPONSIBILITIES - Export packing, licences and export clearance - Deliver to the nominated carrier at the named point and time - Load the buyer's vehicle if delivery is at own premises - Give notice of delivery; provide the usual proof	BUYER'S MAIN RESPONSIBILITIES - Nominate the carrier, place and time window - Contract and pay for the main carriage - Import clearance, duties and taxes - Insurance if wanted; all risk from handover
WHEN TO USE - The standard choice for containerised sea freight — instead of FOB - Air freight and courier, where handover happens at a terminal - Letters of credit: agree the 2020 on-board B/L option (see page 06)	IN PRACTICE A Narayanganj knitwear exporter delivers export-cleared cartons to the buyer's forwarder at Dhaka ICD — FCA Dhaka ICD, Incoterms® 2020. The seller's risk ends at that gate, days before any vessel loads.

KEY TAKEAWAY

FCA is the container-era FOB — risk ends when the box is handed over, not when it crosses a ship's rail.

ANY MODE OF TRANSPORT C GROUP — MAIN CARRIAGE PAID

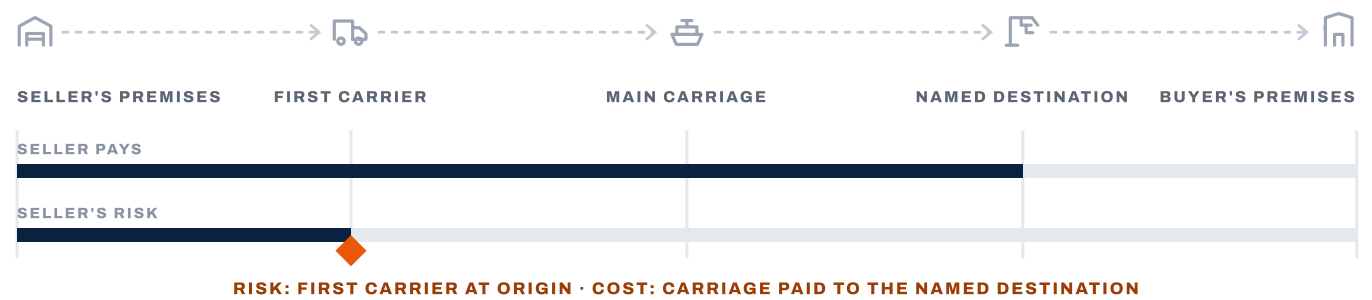
RULE 3 OF 11

SELLER OBLIGATION

MODERATE

CPT Carriage Paid To

The seller contracts and pays for carriage to the named destination — but delivers, and **transfers risk, when the goods are handed to the first carrier** at origin. The place after "CPT" is where costs run to, not where risk ends.



DELIVERY POINT Handover to the first carrier engaged by the seller — often a truck or rail leg at origin, well before the main transport.	RISK TRANSFER At that first handover. From there the goods travel on carriage the seller paid for — at the buyer's risk.
SELLER'S MAIN RESPONSIBILITIES - Contract and pay carriage to the named destination - Export licences and export clearance - Deliver to the first carrier at the agreed time - Provide the usual transport document	BUYER'S MAIN RESPONSIBILITIES - Bear all risk from the first handover - Insure its own interest — the rule requires no cover - Import clearance, duties and taxes - Unloading at destination, unless included in the freight
WHEN TO USE - The seller buys freight better than the buyer can - Air, courier and multimodal shipments - Sellers offering a "freight-included" price without carrying destination risk	IN PRACTICE A Shenzhen supplier sells accessories CPT Dhaka. It books and pays the airline — but its risk ended at handover in Shenzhen, so the Dhaka importer insures the flight.

KEY TAKEAWAY

CPT splits the map in two: costs run to the destination, risk stops at the first carrier — insure the stretch you own.

ANY MODE OF TRANSPORT

C GROUP — MAIN CARRIAGE PAID

RULE 4 OF 11

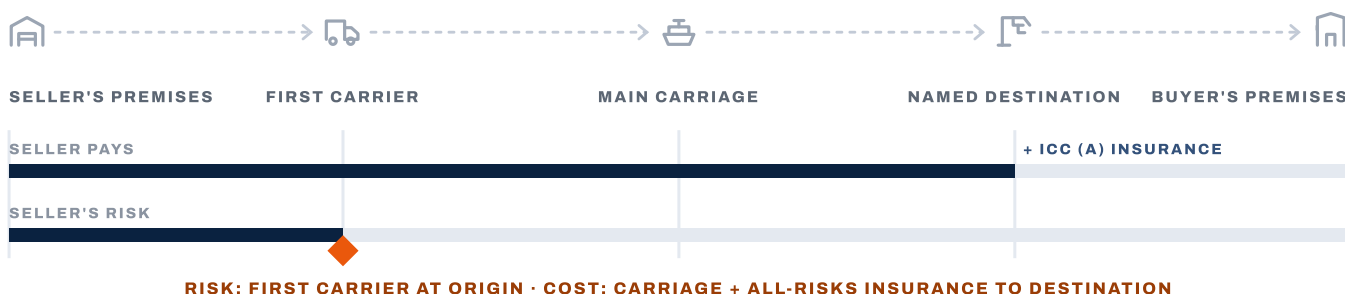
SELLER OBLIGATION

MODERATE

CIP

Carriage and Insurance Paid To

Identical to CPT — the seller pays carriage to the named destination while risk passes at the first carrier — **plus the seller must insure the goods to destination for the buyer's benefit**, with all-risks ICC (A) cover.



📍 DELIVERY POINT Handover to the first carrier at origin — exactly as CPT.	↔ RISK TRANSFER At the first carrier — but from there the buyer is protected by the policy the seller was obliged to buy.
📋 SELLER'S MAIN RESPONSIBILITIES - Everything CPT requires (carriage, export clearance, documents) - All-risks cargo insurance — Institute Cargo Clauses (A) - Cover ≥ 110% of the contract value, in the contract currency - Policy must let the buyer claim directly	🏠 BUYER'S MAIN RESPONSIBILITIES - Bear risk from the first handover (insured risk) - Import clearance, duties and taxes - Unloading at destination, unless in the freight - Any extra cover beyond ICC (A), e.g. war/strikes where needed
✅ WHEN TO USE - High-value manufactured goods moving multimodally - Buyers who want seller-arranged, all-risks cover - The stronger-insurance, any-mode counterpart of CIF	💡 IN PRACTICE Diagnostic equipment ships CIP Dhaka Airport. When a case is damaged in transit, the Bangladeshi buyer claims directly under the seller's ICC (A) policy — no argument about who should have insured.

🔑 KEY TAKEAWAY

Since 2020, CIP means all-risks ICC (A) cover by default — the strongest insurance duty in the rulebook.

ANY MODE OF TRANSPORT

D GROUP — ARRIVAL

RULE 5 OF 11

SELLER OBLIGATION

■■■■■
HIGH

DAP Delivered at Place

The seller delivers when the goods arrive at the named destination, on the arriving means of transport, **ready for unloading**. The seller carries cost and risk the whole way; the buyer unloads and handles import clearance.



DELIVERY POINT The named place of destination — a factory, warehouse or terminal — with the goods still on the arriving vehicle.	RISK TRANSFER On arrival at that place, ready for unloading. Unloading itself is at the buyer's risk and cost.
SELLER'S MAIN RESPONSIBILITIES - Contract and pay carriage to the named destination - Export clearance and transit formalities - Bear all risk until arrival, ready for unloading - Provide any document the buyer needs to take delivery	BUYER'S MAIN RESPONSIBILITIES - Unload the arriving vehicle - Import clearance, duties and taxes - Risk after arrival at the named place - Cooperate with information for transit/import
WHEN TO USE - Door delivery where the seller controls the transport chain - Regional road and rail moves, including cross-border trucking - Sellers offering delivered service without touching import duty	IN PRACTICE Indian machinery parts move by road via Benapole under DAP Dhaka (buyer's factory). The Indian seller carries risk to the factory gate; the Bangladeshi buyer clears import and unloads.



KEY TAKEAWAY

Door-to-door risk for the seller — but import duty and unloading stay with the buyer.

ANY MODE OF TRANSPORT D GROUP — ARRIVAL · NEW NAME IN 2020

RULE 6 OF 11

SELLER OBLIGATION
HIGH

DPU Delivered at Place Unloaded

The seller delivers when the goods, **once unloaded**, are placed at the buyer's disposal at the named destination. DPU — the renamed DAT of 2010 — is the only Incoterms rule that makes the seller responsible for unloading.



DELIVERY POINT The named destination — any place, not only a terminal — with the goods unloaded from the arriving vehicle.	RISK TRANSFER Once unloading is complete — damage during unloading is the seller's problem under DPU.
SELLER'S MAIN RESPONSIBILITIES - Carriage to the named destination - Export clearance and transit formalities - Unload the goods at the destination - Bear all risk until unloading is complete	BUYER'S MAIN RESPONSIBILITIES - Import clearance, duties and taxes - Take delivery once unloaded - Risk after unloading - Provide access/permits for delivery where needed
WHEN TO USE - Deliveries into terminals, warehouses or project sites - Seller (or its agent) can genuinely arrange unloading - Heavy or awkward cargo where unloading needs planning	IN PRACTICE Exhibition stands are delivered DPU ICCB, Dhaka — the foreign seller's contractor unloads at the venue. Had the term been DAP, the organiser would have needed its own crane crew.

KEY TAKEAWAY

The only rule that puts unloading on the seller — never quote DPU unless you can actually unload there.

ANY MODE OF TRANSPORT

D GROUP — ARRIVAL

RULE 7 OF 11

SELLER OBLIGATION

■■■■■
MAXIMUM

DDP Delivered Duty Paid

The seller delivers the goods at the named destination, **cleared for import with duties and taxes paid**, ready for unloading. The mirror image of EXW: maximum obligation sits with the seller.



DELIVERY POINT The named destination, on the arriving vehicle, ready for unloading — with import formalities already completed.	RISK TRANSFER On arrival at the named place, cleared and ready for unloading by the buyer.
SELLER'S MAIN RESPONSIBILITIES • All carriage, export clearance and transit • Import clearance in the buyer's country • Import duties, VAT and taxes, unless the contract carves them out • All risk to the named destination	BUYER'S MAIN RESPONSIBILITIES • Unload the arriving vehicle • Assist with import information and licences the seller needs • Take delivery at the named place • Risk only after arrival
WHEN TO USE • E-commerce, samples, spare parts — a true landed price • Seller has an entity or agent able to clear imports • Avoid when the seller cannot legally act as importer of record	IN PRACTICE A courier consignment of production samples arrives DDP Uttara, Dhaka — the foreign seller's courier has already paid Bangladesh customs duty, and the buyer simply receives the box.



KEY TAKEAWAY

Maximum seller obligation — never quote DDP unless you can clear imports, and pay taxes, in the buyer's country.

SEA & INLAND WATERWAY ONLY

F GROUP — MAIN CARRIAGE UNPAID

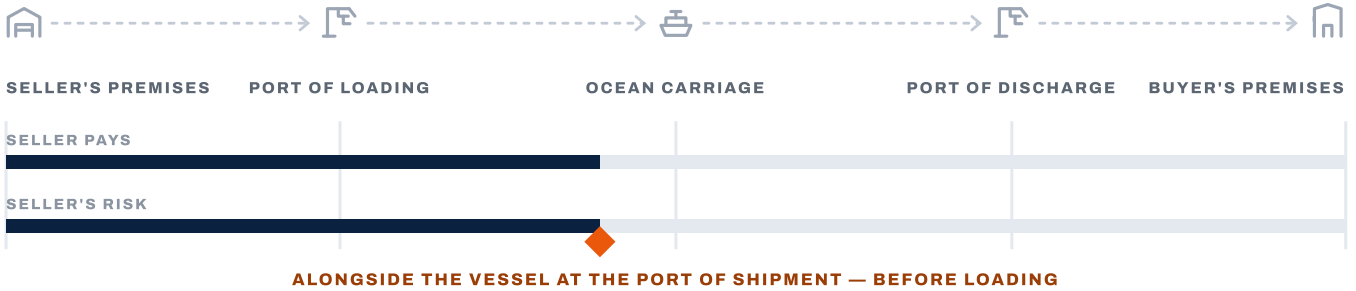
RULE 8 OF 11

SELLER OBLIGATION

LOW

FAS Free Alongside Ship

The seller delivers when the goods are placed **alongside the vessel** — on the quay or a barge — nominated by the buyer at the named port of shipment, cleared for export. From that moment, everything is the buyer's.



📍 DELIVERY POINT Alongside the nominated vessel at the named port of shipment — quay, lighter or barge.	↔ RISK TRANSFER When the goods are alongside — lifting on board is already at the buyer's risk and cost.
📋 SELLER'S MAIN RESPONSIBILITIES • Export licences and export clearance • Deliver alongside the vessel in the time agreed • Pre-carriage to the port • Usual proof of delivery	🏠 BUYER'S MAIN RESPONSIBILITIES • Nominate the vessel and loading window • Loading on board, ocean freight, any insurance • Import clearance, duties and taxes • Risk from alongside
✅ WHEN TO USE • Bulk and breakbulk cargo handled at the quay • Charter shipments where the buyer controls the vessel • Not for containers — they are handed to terminals, so use FCA	💡 IN PRACTICE A buyer charts a vessel for construction aggregate and buys FAS Mongla — the seller trucks the cargo to the quay alongside; the charterer's stevedores lift it aboard.



KEY TAKEAWAY

FAS is for cargo that meets the ship at the quay — bulk and breakbulk. Containers belong in FCA.

SEA & INLAND WATERWAY ONLY

F GROUP — MAIN CARRIAGE UNPAID

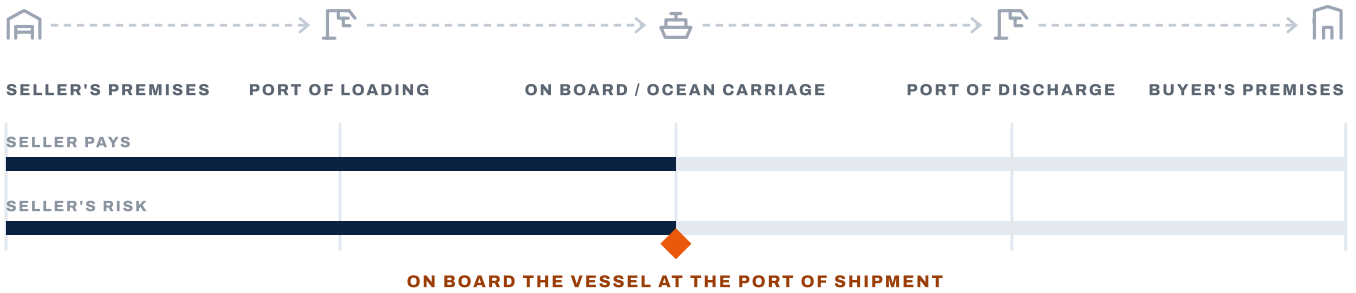
RULE 9 OF 11

SELLER OBLIGATION

LOW

FOB Free On Board

The seller delivers the goods, cleared for export, **on board the vessel** nominated by the buyer at the named port of shipment. Risk passes once the goods are on board; the buyer pays the ocean freight onward.



📍 DELIVERY POINT On board the buyer's nominated vessel at the named port of shipment.	↔ RISK TRANSFER When the goods are on board — the on-board date on the bill of lading is the classic evidence.
📋 SELLER'S MAIN RESPONSIBILITIES • Export licences and export clearance • Deliver the goods on board in the agreed window • Pre-carriage and loading costs to on board • Usual proof of delivery / on-board document	🏠 BUYER'S MAIN RESPONSIBILITIES • Nominate the vessel and give shipping instructions • Ocean freight and any insurance it wants • Import clearance, duties and taxes • Risk from on board
✅ WHEN TO USE • Bulk, breakbulk and chartered shipments loaded over the rail • Letter-of-credit trades that demand an on-board B/L • Containers delivered to a terminal days early? FCA fits reality better	💡 IN PRACTICE A Dhaka knitwear maker sells a 40' container FOB Chattogram — the standard term in Bangladesh's RMG trade. The buyer's forwarder books the vessel; the seller bears cost and risk until the container is on board.



KEY TAKEAWAY

FOB works because banks love the on-board B/L — but for containerised cargo, the seller carries terminal risk it can't control.

SEA & INLAND WATERWAY ONLY C GROUP — MAIN CARRIAGE PAID

RULE 10 OF 11

SELLER OBLIGATION

MODERATE

CFR Cost and Freight

The seller pays the **freight to the named destination port** — but delivers, and transfers risk, when the goods are **on board at the port of shipment**. The sea-only sibling of CPT.



DELIVERY POINT On board the vessel at the port of shipment — the destination port after "CFR" is a cost point, not the delivery point.	RISK TRANSFER On board at origin. The voyage the seller paid for is sailed at the buyer's risk.
SELLER'S MAIN RESPONSIBILITIES - Contract and pay freight to the destination port - Export clearance; deliver on board - Provide the transport document (usually an on-board B/L) - Notify the buyer so it can insure and receive	BUYER'S MAIN RESPONSIBILITIES - Risk from on board at origin - Marine insurance — the rule requires none - Import clearance, duties and taxes - Discharge costs at destination, unless in the freight
WHEN TO USE - Sea trades where the seller books freight but not insurance - Letter-of-credit business built on on-board B/Ls - Buyers with their own open marine policy	IN PRACTICE A Dhaka mill buys cotton yarn CFR Chattogram under a letter of credit. Freight is inside the price — but the mill's own open cover insures the voyage, because the risk is already the mill's.

KEY TAKEAWAY

Freight paid is not risk carried — under CFR the buyer must arrange its own marine insurance or sail bare.

SEA & INLAND WATERWAY ONLY

C GROUP — MAIN CARRIAGE PAID

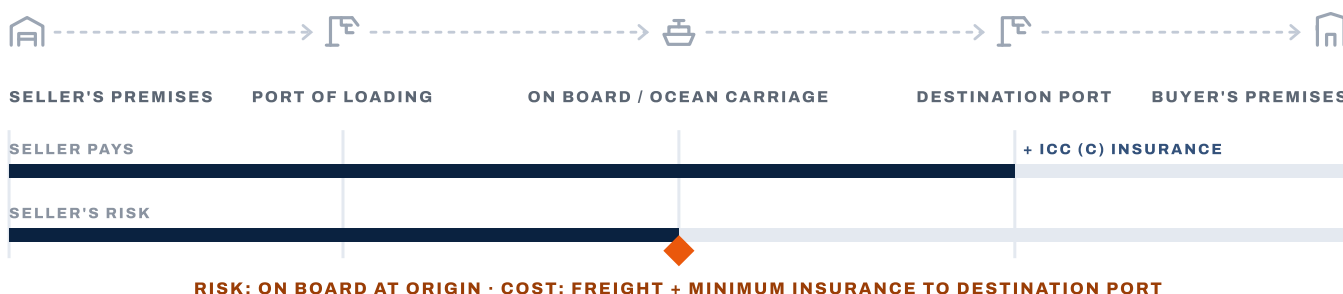
RULE 11 OF 11

SELLER OBLIGATION

MODERATE

CIF Cost, Insurance and Freight

CFR plus insurance: the seller pays freight to the destination port **and must insure the voyage** — but only to the minimum ICC (C) level unless more is agreed. Risk still passes on board at origin.



DELIVERY POINT On board the vessel at the port of shipment — as FOB and CFR.	RISK TRANSFER On board at origin — from there the buyer relies on the seller-purchased policy.
SELLER'S MAIN RESPONSIBILITIES - Everything CFR requires (freight, export clearance, on-board B/L) - Marine insurance — Institute Cargo Clauses (C) minimum - Cover ≥ 110% of the contract value, claimable by the buyer - Provide the insurance document with the shipping documents	BUYER'S MAIN RESPONSIBILITIES - Risk from on board at origin - Top-up cover beyond ICC (C) where the cargo needs it - Import clearance, duties and taxes - Discharge costs unless included in the freight
WHEN TO USE - Classic letter-of-credit sea trade — banks know CIF documents - Buyers who want price, freight and basic cover in one number - Check whether ICC (C) is truly enough for your commodity	IN PRACTICE A Dhaka importer buys machinery CIF Chattogram. The seller's ICC (C) policy covers major casualties like sinking or fire — so the buyer tops up to all-risks for the sensitive electronics inside.



KEY TAKEAWAY

CIF insurance is the legal minimum, not full protection — decide deliberately whether ICC (C) is enough for your cargo.

PART THREE

Choosing & Comparing

Who pays for what, a decision path to the right rule, recommendations by scenario, and the eight mistakes that cause most disputes.



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SECTION 06

Cost & task matrix

Who pays for each stage of the journey, rule by rule. Use it to price quotations and to check invoices against the agreed term.

S Seller pays **B** Buyer pays **S** Seller pays — insurance obligation — No obligation under the rule

COST / TASK	EXW	FCA	CPT	CIP	DAP	DPU	DDP	FAS	FOB	CFR	CIF
Export packing & marking	S	S	S	S	S	S	S	S	S	S	S
Loading at seller's premises	B	S	S	S	S	S	S	S	S	S	S
Export clearance	B	S	S	S	S	S	S	S	S	S	S
Carriage to origin port / terminal	B	S*	S	S	S	S	S	S	S	S	S
Origin terminal / loading on vessel	B	B	S	S	S	S	S	B	S	S	S
Main carriage	B	B	S	S	S	S	S	B	B	S	S
Cargo insurance	—	—	—	S	—	—	—	—	—	—	S
Destination terminal charges	B	B	B*	B*	S*	S	S	B	B	B*	B*
On-carriage to named destination	B	B	B*	B*	S	S	S	B	B	B	B
Unloading at destination	B	B	B	B	B	S	B	B	B	B	B
Import clearance, duties & taxes	B	B	B	B	B	B	S	B	B	B	B

* Depends on the named place and the carriage contract: under FCA the seller carries the goods to the named delivery point; under CPT/CIP/CFR/CIF destination handling is the buyer's unless the seller's freight contract includes it; under DAP the seller pays through to the named place, which may lie beyond the terminal. Risk transfer is shown on pages 09–21 — in the C-rules it does not follow these cost columns.



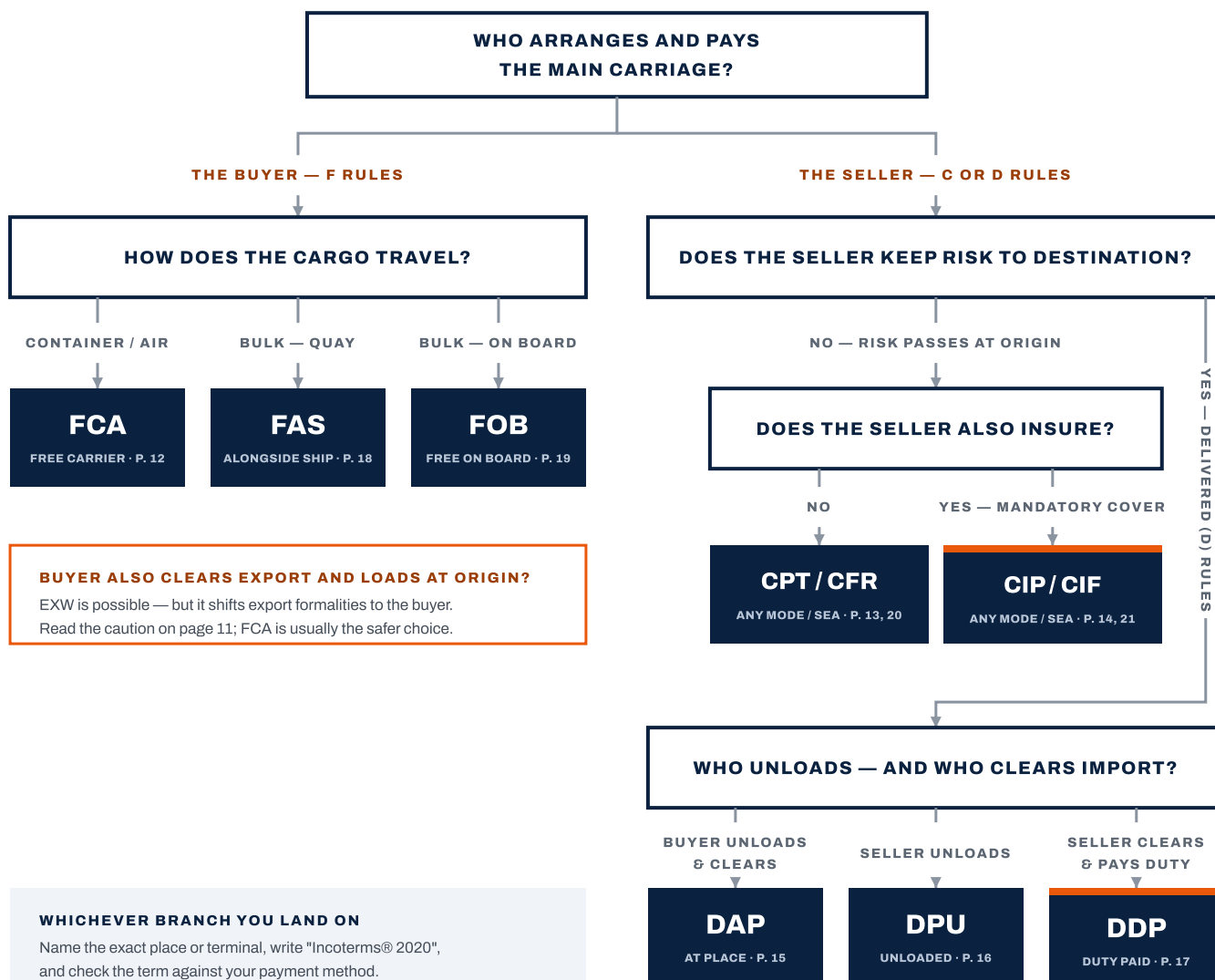
KEY TAKEAWAY

Before signing, walk one row at a time and ask: is this cost in my price, or on top of it?

SECTION 07

Choosing the right rule

Three questions get you to a sensible shortlist: who arranges the main carriage, whether the seller keeps risk to destination, and who handles insurance, unloading and import.


KEY TAKEAWAY

Choose by capability, not habit: the party better placed to arrange a leg — and to control its risk — should own it.

SECTION 08

Recommendations by scenario

Sensible starting points for common situations — to be refined against your cargo, payment terms and appetite for risk.

SCENARIO	START WITH	WHY
Containerised sea freight (FCL or LCL)	FCA	The box is handed to a terminal days before sailing — FCA puts risk transfer where the handover really happens. FOB leaves the seller exposed inside the terminal.
Bulk or breakbulk by sea	FOB · FAS · CFR	The quay-and-rail rules were written for this cargo. Choose by who charters or books the vessel — and who wants the freight in the price.
Air freight	FCA · CPT · CIP	Delivery happens at the cargo terminal, never "on board". Use the C-rules when the seller books the flight; add CIP if it should insure too.
Courier & e-commerce parcels	DAP · DDP	Integrated door-to-door service fits the D-rules. Quote DDP only if the seller (or its courier) can genuinely act as importer and pay local duty and VAT.
Payment by letter of credit	FOB · CFR · CIF	Banks are built around the on-board bill of lading. For containers, FCA works if the parties agree the 2020 on-board B/L option and the L/C matches it.
Seller entering a new market	CIP · DAP	The seller keeps control of freight (and insurance under CIP) to deliver a smooth landed experience — without taking on foreign import formalities.
Buyer with a strong origin network	FCA	The buyer's forwarder controls cost and routing from origin, while export clearance stays with the seller — the main reason to prefer FCA over EXW.
Cross-border road freight	DAP · DPU	One truck, one border, door delivery. DAP keeps unloading and import with the buyer; step up to DPU only when the seller can unload at the site.



PRACTICAL TIP · A NOTE ON HABIT

Many trades run on FOB and CIF because they always have — including much of South Asia's containerised traffic. The habit usually works, until a container is damaged in the terminal or an insurance gap surfaces. Where you can, align the rule with the physical handover; where you cannot, at least know where your exposure begins and insure it deliberately.



KEY TAKEAWAY

These are starting points, not verdicts — pressure-test them against your cargo, route and letter of credit.

■ SECTION 09 · MISTAKES 1–4 OF 8

Eight common mistakes

The same handful of errors causes most Incoterms disputes we see. All eight are avoidable at the contract stage — for the cost of one careful sentence.

01 Using FOB or CIF for containers

A container is handed to the terminal days before it is lifted on board — but under FOB/CIF the seller's risk runs to the ship's rail. Damage in the yard falls into a window nobody planned for.

✓ **DO THIS INSTEAD** Use FCA (or CPT/CIP) so risk passes at the real handover.

02 Selling EXW across borders

EXW makes the foreign buyer responsible for export clearance in the seller's country — licences, declarations, export evidence. Most buyers can't do it, so the seller ends up doing it anyway, informally and uninsured.

✓ **DO THIS INSTEAD** Quote FCA — export clearance stays with the seller, cleanly.

03 Naming a country, not a point

"CIF Bangladesh" or "FCA Dhaka" leaves the critical question open: which port, which terminal, whose gate? The named place anchors where costs or risk change hands — vagueness there is vagueness about money.

✓ **DO THIS INSTEAD** Name the precise point: "FCA Dhaka ICD, Kamalapur, Incoterms® 2020".

04 Dropping the version year

Old versions never expired, and defaults differ between them — DAT still exists in 2010, CIP insurance jumped from ICC (C) to ICC (A) in 2020. A bare "CIP" invites an argument about which rulebook applies.

✓ **DO THIS INSTEAD** Always write the rule, the place and "Incoterms® 2020" together.



KEY TAKEAWAY

Mistakes 1–4 share a root: the words on the contract don't match the physical journey. Write the journey you actually run.

SECTION 09 · MISTAKES 5–8 OF 8

Eight common mistakes —continued

05 Trusting CIF cover blindly

CIF obliges the seller to buy only minimum ICC (C) cover — major casualties like fire, sinking or collision. Theft, wetting and rough handling are typically outside it. "It was insured" can still mean an unpaid claim.

- ✓ **DO THIS INSTEAD** Read the clauses; agree ICC (A), or top up under your own policy.

06 Quoting DDP you can't deliver

DDP makes the seller the importer: registrations, duty, VAT, local formalities in the buyer's country. Sellers without a local entity or agent discover this at the border — with the cargo already there.

- ✓ **DO THIS INSTEAD** Offer DAP or DPU and leave import formalities with the buyer.

07 Reading C-rules as "delivered"

Because the seller pays freight to the destination, buyers assume the seller's risk travels with it. It doesn't: under CPT, CIP, CFR and CIF the goods move at the buyer's risk from origin — a voyage-long exposure many buyers never insure.

- ✓ **DO THIS INSTEAD** Treat the diamond on page 09 as the truth — and insure from there.

08 Fighting the letter of credit

The L/C demands an on-board bill of lading, but the term is FCA with delivery at an inland depot — so the seller can't obtain the document the bank wants, and payment stalls while the goods sail on.

- ✓ **DO THIS INSTEAD** Align term and L/C before shipment — or use the FCA 2020 on-board B/L option.

A 60-SECOND CONTRACT CHECK

Before you sign, read the trade term aloud and answer four questions: **Where exactly does risk pass? Who insures from that point? Which transport document will exist — and does the payment method accept it? Who is the importer of record?** If any answer is fuzzy, the term isn't finished.

KEY TAKEAWAY

Every one of these mistakes is cheaper to fix in the contract than in the claim.

PART FOUR

Bangladesh in Practice

How the rules behave on the country’s real trade lanes — garment exports by sea, fabric and machinery imports, air freight and the land border.

THE GATEWAYS IN THIS PART



Chattogram Port
The principal seaport — most containerised trade



Benapole Land Port
The main road gateway to and from India



Dhaka ICD, Kamalapur
Inland container depot for rail-linked cargo



Shahjalal (DAC) Cargo
Air cargo terminal for samples, trims and spares

IN THIS PART

10	Exports: RMG via Chattogram	29
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12	Air & land: Dhaka (DAC) and Benapole	31

■ SECTION 10

Exports: RMG via Chattogram

Most Bangladeshi ready-made garment exports are sold **FOB Chattogram**: the foreign buyer nominates the shipping line or forwarder and pays the ocean freight, while the exporter delivers the container on board. Here is how a typical shipment divides.

WORKED EXAMPLE

1 × 40'HC KNITWEAR · GAZIPUR → HAMBURG

FOB Chattogram Port, Incoterms® 2020**THE EXPORTER (SELLER)**

- Export packing, carton marks, documentation
- Trucking Gazipur → Chattogram (or rail via Dhaka ICD)
- Export customs through its C&F agent
- Port and handling costs until the container is on board

THE BUYER (IMPORTER)

- Nominates the carrier; pays ocean freight to Hamburg
- Marine insurance for the voyage
- Discharge, EU import clearance, duties
- Delivery to its distribution centre

RISK & PAYMENT

- Risk passes when the container is **on board at Chattogram**
- The on-board B/L dated at loading triggers the letter of credit
- Until on board, delay and damage sit with the exporter

THE TERMINAL WINDOW

Under FOB the exporter's risk covers the stretch from factory gate to ship's rail — including days inside a congested terminal, cut-off changes and monsoon delays it cannot control. **FCA Chattogram CY** would close that window at the container yard gate.

WHY FOB PERSISTS

Export letters of credit — including the back-to-back L/Cs that fund fabric purchases — are built around the on-board bill of lading, which FOB naturally produces. Moving to FCA works when the L/C is drafted for it, using the 2020 on-board B/L option (page 06).

**KEY TAKEAWAY**

Selling FOB? Price the terminal window into your cut-off planning — or negotiate FCA and an L/C that accepts it.

■ SECTION 11

Imports: fabric, yarn & machinery

Bangladeshi import letters of credit are commonly opened on **CFR Chattogram** terms, with marine insurance arranged locally by the importer — a structure worth understanding before you sign it.

Fabric & yarn from Shanghai — CFR Chattogram			IMPORT L/C · SEA
FREIGHT In the seller's price, booked from Shanghai	INSURANCE Buyer's — taken with a local insurer before the L/C opens	RISK PASSES On board at Shanghai — the whole voyage is the buyer's risk	WATCH FOR Cover must start at loading, not at Chattogram — match policy to term
Capital machinery from Milan — CIF vs FCA			PROJECT CARGO
CIF CHATTOGRAM — SELLER'S PACKAGE • One price: goods + freight + minimum ICC (C) cover • Seller picks the carrier and routing • Simple to compare — but the buyer inherits minimum insurance on high-value cargo		FCA MILAN — BUYER'S CONTROL • Buyer's forwarder books the routing and equipment • All-risks cover under the buyer's own open policy • Visibility from the factory gate — usually cheaper than it looks	

**REMEMBER · DUTY IS YOURS EITHER WAY**

Under every term short of DDP, Bangladesh customs duty, VAT and advance taxes are the importer's to pay — CFR and CIF only move freight and insurance into the price. Budget landed cost from the term, not from the invoice alone.

**KEY TAKEAWAY**

Buying CFR? Your risk starts at the foreign port — make sure your local policy does too.

■ SECTION 12

Air & land: Dhaka (DAC) and Benapole

Two flows where the sea-only habits break down completely — and the any-mode rules earn their keep.

Air freight via Hazrat Shahjalal International (DAC)		SAMPLES · TRIMS · SPARES
Use FCA or the C-rules — never FOB. Air cargo is delivered to the carrier's terminal, not "on board a vessel". FCA DAC when the buyer books the flight; CPT / CIP Dhaka when the seller does.	The air waybill is not negotiable, so classic L/C mechanics fit poorly — urgent air shipments usually move on T/T or open account, with the term keeping cost and risk unambiguous.	
India–Bangladesh road freight via Benapole–Petrapole		CROSS-BORDER TRUCKING
DAP suits door delivery: an Indian supplier selling DAP Dhaka (buyer's works) carries risk through the border to the factory gate; the Bangladeshi buyer clears import and unloads. Cargo is commonly transshipped truck-to-truck at the border — plan who bears that handling.	Name the side of the border. "DAP Benapole" and "DAP Petrapole" are different countries, different customs regimes and different risk pictures. Precision about the named place is never more valuable than at a land border.	
Courier & small e-commerce consignments		DOOR TO DOOR
Integrated couriers quote effectively DAP (duties unpaid) or DDP (duties in the price, paid by the courier as the seller's agent). For samples and low-value parcels DDP is convenient; for anything dutiable at scale, check who is importer of record before the parcels pile up at the airport.		



KEY TAKEAWAY

Off the water, the any-mode rules — FCA, CPT/CIP, DAP/DPU — are the only ones that describe what actually happens.

 PART FIVE

Reference

The one-page cheat sheet to keep beside every quotation, and a glossary of the trade and transport terms used throughout.

IN THIS PART

13	Quick reference cheat sheet	33
14	Glossary of trade terms	34

SECTION 13 · KEEP THIS PAGE

The 11 rules on one page

RULE + NAMED PLACE + "INCOTERMS® 2020"

RULE	DELIVERY = RISK TRANSFER	MAIN CARRIAGE	INSURANCE	BEST FOR	WATCH OUT
ANY MODE OF TRANSPORT					
EXW Ex Works	Seller's premises — available, not loaded	Buyer	—	Buyer-run pickup at origin	Export clearance falls on the buyer
FCA Free Carrier	Handover to buyer's carrier at the named place	Buyer	—	Containers, air freight	Name the exact handover point
CPT Carriage Paid To	First carrier at origin	Seller → dest.	—	Seller-booked freight	Freight paid ≠ risk carried
CIP Carr. + Ins. Paid To	First carrier at origin	Seller → dest.	Seller · ICC (A)	High-value manufactured goods	Risk still passes at origin
DAP Delivered at Place	Named destination — ready for unloading	Seller	—	Door delivery, road freight	Buyer unloads and clears import
DPU Delivered Unloaded	Named destination — after unloading	Seller	—	Terminals, project sites	Seller must actually be able to unload
DDP Delivered Duty Paid	Named destination — import cleared	Seller	—	Landed-price offers, e-commerce	Seller pays duty & VAT as importer
SEA & INLAND WATERWAY ONLY					
FAS Free Alongside Ship	Alongside the vessel, port of shipment	Buyer	—	Bulk cargo on the quay	Not for containers — use FCA
FOB Free On Board	On board the vessel, port of shipment	Buyer	—	Bulk & L/C trade	Terminal window risk on containers
CFR Cost and Freight	On board at origin; freight paid to dest. port	Seller → port	—	L/C sea trade	Buyer must insure the voyage
CIF Cost, Ins. & Freight	On board at origin; freight paid to dest. port	Seller → port	Seller · ICC (C)	L/C sea trade, one price	Minimum cover only — check clauses

"—" = the rule obliges neither party to insure; cover follows whoever bears the risk. Full one-page guides: pages 11–21 · cost matrix: page 23.



KEY TAKEAWAY

Print this page and keep it beside every quotation you send or receive.

 SECTION 14 · A–F

Glossary of trade terms

Air waybill (AWB)

The air-cargo transport document. Evidence of the contract of carriage and receipt of goods — but not negotiable and not a document of title.

Back-to-back L/C

A second letter of credit opened against an export L/C — widely used in Bangladesh's RMG sector to buy fabric and trims against a garment order.

Bill of lading (B/L)

The ocean transport document: receipt for the goods, evidence of the carriage contract and — in negotiable form — a document of title. The "on-board" notation and date drive FOB/CFR/CIF and most L/Cs.

Bonded warehouse

Customs-controlled storage where imported goods (e.g. fabric for export garments) are held without duty until used or re-exported under the bond's conditions.

C&F agent

Clearing & forwarding agent — the licensed intermediary who files customs declarations and moves cargo through Bangladeshi ports and borders.

Carrier

The party who contracts to perform the transport — shipping line, airline, trucking company or railway. Under FCA and CPT/CIP, "handover to the carrier" is the delivery event.

Chargeable weight

Air-freight pricing weight: the greater of actual weight and volumetric weight. Decides the cost of the legs your Incoterm allocates.

Consignee

The party to whom the goods are consigned on the transport document — usually the buyer or its bank.

Customs clearance

The formalities — declarations, licences, inspections, payment of duties — required to move goods out of one customs territory and into another. Every Incoterm assigns export and import clearance explicitly.

Demurrage

Charges for keeping the carrier's container or the berth beyond the free time inside the port or terminal.

Detention

Charges for holding the carrier's equipment outside the port beyond free time — e.g. a container kept at the factory too long before return.

FCL / LCL

Full container load — one shipper's cargo in one container — versus less-than-container load, where a consolidator groups several shippers' cargo into a shared box.



 SECTION 14 · F–T

Glossary —continued

Freight forwarder

A company that arranges transport and related services — booking space, consolidating, issuing documents, coordinating customs — on behalf of shippers. MTS Logistics acts in this role.

HS code

The Harmonized System commodity code that determines duty rates and import conditions — needed by whoever the Incoterm makes responsible for clearance.

ICC

The International Chamber of Commerce — publisher and trademark owner of the Incoterms® rules (current edition: ICC Publication No. 723E).

Institute Cargo Clauses (A / B / C)

Standard marine insurance wordings. (A) is all-risks — required under CIP; (C) covers listed major casualties only — the CIF minimum; (B) sits between.

Importer of record

The party legally responsible for the import declaration, duties and compliance. Under DDP that is the seller — the main reason DDP needs local capability.

Letter of credit (L/C)

A bank's undertaking to pay the seller against presentation of specified documents. The chosen Incoterm decides which transport and insurance documents can exist — so the two must be drafted together.

Multimodal transport

Carriage under one contract across two or more modes — truck + ocean + rail, for example. The territory of the seven any-mode rules.

Named place / named port

The location written after the rule — where delivery, risk transfer or the cost boundary is anchored. The single most under-specified element in real contracts.

On-board date

The date the goods are loaded on the vessel, notated on the B/L — the moment risk passes under FOB, CFR and CIF, and the date banks scrutinise.

Telegraphic transfer (T/T)

Direct bank remittance — the usual payment method where no L/C is used, common for samples, air shipments and open-account trade.

Terminal handling charges (THC)

Port/terminal fees for moving containers between gate, yard and ship — at both ends of the voyage. A frequent double-billing battleground when the term is vague.

Title

Legal ownership of the goods. Incoterms never transfer it — ownership passes as the sale contract and documents provide, separately from risk.

**KEY TAKEAWAY**

Risk, cost, documents and title are four different things — a clean contract keeps all four deliberately aligned.

SECTION 15

About MTS Logistics Ltd.



MTS Logistics Ltd. is a fast-growing multimodal transport and logistics company based in Dhaka, Bangladesh. Rooted in the Bay of Bengal and oriented to the maritime routes that connect Bangladesh with the world, MTS serves today's business community with supply-chain services that run from a single scheduled delivery to end-to-end managed freight.

Our founding principle is simple: high-quality, personalised service delivered by our greatest asset — our people. Service packages are configured around each client's needs and delivered to one consistent standard, shipment after shipment.

SERVICES

 Sea Freight FCL and LCL programmes on the routes Bangladesh trades most.	 Air Freight Time-critical uplift via Dhaka and partner hubs worldwide.	 Sea-Air Shipment Combined routings that balance transit time against cost.
 Customs Clearance Export and import formalities handled by experienced hands.	 Warehousing & Trucking Storage, distribution and inland haulage across Bangladesh.	 Project Logistics Heavy and oversized cargo, including India-Bangladesh cross-border moves.

INDUSTRY FOCUS & NETWORK

Deep experience in **fashion & retail, FMCG & food stuffs, and medical supplies** — with presence across **Bangladesh, Hong Kong, China and Vietnam** and partners throughout the trade lanes in between.

AFFILIATIONS

BAFFA — Bangladesh Freight Forwarders Association · U.S. Federal Maritime Commission (FMC) · NAMFTA — National Motor Freight Association Inc., USA.

HOW WE HELP WITH INCOTERMS

Send us the trade term on your next quotation — before you sign. We review the named place, the risk window and the documents your payment method needs, then run the shipment under the rule you choose: FCA handovers, CFR/CIF programmes, DAP door deliveries and everything between.



REQUEST A
QUOTATION

SECTION 16 · CONTACT

Talk to us before you sign the trade term.

Quotations, term reviews and bookings — sea, air, customs, warehousing and cross-border. We reply from Dhaka, fast.

MULTIMODAL TRANSPORT & LOGISTICS · BANGLADESH · HONG KONG · CHINA · VIETNAM

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